THE JAPANESE CHAMBER OF COMMERCE & INDUSTRY

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No.: 01/2020JCCI

THE SOCIALIST REPUBLIC OF VIETNAM
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Ref: ***Proposal related to the Natural Disaster Prevention Fund***

Hanoi, March 16th , 2020

To: **- The Ministry of Agriculture and Rural Development**

- The Government Office

- The National Assembly Office

- The Environmental Science & Technology Committee of the National Assembly

- The Vietnam Chamber of Commerce & Industry

Firstly, we - the Japanese Chamber of Commerce & Industry in Vietnam (JCCI) would like send our respectful greetings & deep thanks to you for the cooperation & support our activities during the past time.

Regarding the implementation of collecting and contributing the Natural Disaster Prevention Fund, Japanese enterprises as well as enterprises all over the country have been meeting many troubles, especially in collecting fund from employees. About this matter, JCCI has sent Authorities some official letters (OL) of difficulties and proposal to revise the Decree 94/2014/ND-CP and the Decree 104/2017/ND-CP, such as OL No. 12/2018JCCI, OL No. 18/2018JCCI,…

And in the end of 2019, the Decree No. 83/2019/ND-CP to amend and supplement some articles of the Government's Decree No. 94/2014/ND-CP was issued. It regulated more clearly some issues such as supporting for remuneration for direct collection forces and related administrative expenses; propagating and disseminating knowledge about natural disaster prevention, organizing training and raising disaster prevention awareness; more clearly stipulating the subjects of exemption and reduction of the Fund payment.

However, we recognize that there are still many difficulties that we proposed in the previous official letters have not been resolved. Therefore, we would like to re-send you our

remained difficulties and recommendations so that the implementation of collecting fund from employees can be ensured fairly and does not cause any dissatisfaction.

No.	Main content	Difficulties, matters
1	Method to collect fund	Currently, enterprises still haven't had any method to collect fund from employees, which is both compliant with Law and effective, fair for all employees as well as does not cause any reaction from employees, because: - According to the Labor Code and the Labor Regulation, enterprises cannot deduct salaries of employees to contribute Fund. - The direct collection in cash from individuals is also impossible. Because the handling of cash in the enterprise is risky, dangerous and complicated, such as: confusion in the collection process can lead to the lack of money; collecting counterfeit money; the collected money can be stolen and even employees in charge of collecting funds greedily appropriate the large amounts of money,... - Because enterprise's duty is manufacturing and business, we cannot organize the personnel system for collecting, managing fund and writing, tracking, managing receipts if collecting fund directly in cash. - Although enterprises have actively propagated the Fund, some employees still do not voluntarily comply with collecting fund. Because each employee has particular understanding & psychophysiology while enterprises need to keep employees for production and business activities, we also cannot force them to pay fund. That some pay & some do not will make employees compare mutually, feel uncomfortable and unfair, then easily cause strike & affect to production & business activities.
2	Subjects of penalty	The Decree 104/2017/ND-CP stipulates that employees who violate the payment of the Fund will be punished. However,

		enterprise cannot punish our employees and we are also unable to be subject of penalty if we didn't have ability to collect fund from employees, because: - Our duty is manufacturing and business. Only the company management and operation is very difficult, even a small mistake can lead to unexpected problems. The regulation that enterprise has the responsibility to collect funds from employees and is applied penalty increases the responsibility and pressure for enterprises. While we have made great efforts in propagating and collecting funds from employees. - Recruiting and retaining employees in the enterprise is extremely difficult, so we cannot force our employees to pay fund nor apply any punishment to them if they do not agree to pay. - In addition, the responsibility to collect contributions from the citizens for the State budget must be the responsibility of State agencies and authorities, the regulation of enterprise's responsibility is unreasonable.
3	Inequality in collecting funds and contribution amount	1. For employees who have already paid fund at their local residence (due to not being aware of the regulations paying fund at company) & for employees who have paid their fund at the old company but do not have a receipt of the collection, the collection at enterprises causes them to pay double times, causing injustice and inequality for employees. If enterprises do not collect fund from these subjects, it is also unfair because of the difference (~10 times) between contribution amount at local residence and at company. 2. The contribution amount applied to labors in enterprise is too high, creating more pressure and difficulties for laborers because they had to pay taxes and many other funds. 3. The regulation based on the salary amount to determine the different fund contribution amount between laborers in non-state enterprises, laborers in state offices and freelancers does not ensure the equality for all citizens while social responsibility is fair

		among individuals and when a disaster occurs, all will be affected the same damage & get the same support, the more contributed person also cannot get more support. 4. As our survey, the reason that our employees oppose to pay fund is due to the contribution amount being too high (1 day of regional minimum wage) and there is a big difference (about 10 times) between employees in businesses and freelancers. Despite the fact that there are many freelance business people whose income is many times higher than that of employees in the enterprise. And the employees themselves are not convinced about the benefits they receive after they contribute fund. 5. The fund collection once a year before May 30th will not ensure the justice for all employees. Because employees who work for only one month, even for 1 day and then resign must also pay fund while the employees who join company after the time of fund contribution have a longer working time in a year but do not need to pay fund.
4	Unclear regulation on the formula for calculating 1 day of regional minimum wage	According to the regulation, the compulsory contribution of employees in the enterprise is 1 day of regional minimum wage. However, the Decree does not specify the formula for calculating the regional minimum wage on how many working days in a month, leading to the difference between the collections of different localities and enterprises. Then, the employees may compare, even doubt about the unclear collection of enterprises, which can easily lead to strikes, affecting the production and business activities of enterprises.
5	Unclear regulation on collecting funds from some subjects and some cases	1. In case the employee has a very short working time at each company so he has not paid fund at any company, we cannot control it. 2. We cannot collect fund from employees who are on maternity leave, long-term leave or unpaid leave because there is only 1 time of contribution a year. 3. Due to the daily labor fluctuations, enterprises also cannot collect from employees who quit jobs at the time of receiving the

		notice of fund payment, after completing the list of payment, while implementing the collection,… 4. For employees who are in the period of training, internship or probation (without official labor contract), whether they pay same contribution amount as other employees or not. The fund collection will be unreasonable if after the probationary, internship period, their results do not meet our requirements & we do not sign labor contracts with them. 5. The separation between employees who have already paid fund (at the old workplace) and employees who have not yet paid fund is very complicated and time-consuming.
6	The verification of the objects of reduction or exemption, the objects who have already paid fund at the local residence	The verification of employee's background to list up exemption objects is very complicated and time-consuming for businesses with a large number of employees. Moreover, enterprise does not have the ability to check employee's documents for exemption, already paying fund at local residence or at old company are true or fake.
7	Receipt of fund payment in enterprise	1. In principle, all payments must have invoice, receipts. However, we cannot issue invoice/receipts for employees as evidence of fund collection because this is the amount paid to Authorities. Therefore, if employees contribute fund to enterprise & ask for financial receipts, could you support us to provide the receipts for employees? 2. Because the enterprise's duty is production and business, we cannot organize the personnel system to buy, write receipts, track and manage receipts as well as collect and manage money. 3. If no receipts are provided, when the employees change jobs, they will not have proof that they have paid Fund at the old company. 4. If the employee has paid fund the old company but did not get a receipt from the old company, what evidence will the employee need to submit to the new company so that he / she does not have

		to continue to pay fund at the new company? If the employee insists that he/she has paid but cannot submit proof, how will these objects be handled?
8	Receipt of payment at local residence	If the employee has paid at the local residence but didn't get the receipt, how to reduce the amount paid to the local residence?
9	Not clear where dependent accounting enterprise having headquarter & branches in different provinces shall pay fund.	Both Decree 94/2014/ND-CP and Decree 83/2019/ND-CP do not specify whether dependent accounting enterprise having headquarter & branches in different provinces shall pay enterprise's fund & employee's fund in the branches' provinces or in headquarter's province because the financial statements do not separate the headquarter and branch assets.
10	The implementation of collecting fund is unequal in localities and enterprises	The unequal implementation of collecting fund in all localities, enterprises makes employees feel unfair. According to our survey, the majority of enterprises that have paid Fund are FDI enterprises, many Vietnamese enterprises (including those of big associations such as VITAS, VASEP, LEFASO, ...) are unaware of this Fund. Moreover, according to the Vietnam Disaster Management Authority's report, until June 2019, there are still 2/63 provinces that have not yet established the Fund, 8/63 provinces that have not yet collected Fund, the actual collection has only reached 14% estimation. *+ The remained fund is 1,442 billion VND, 7/63 provinces haven't spent fund, 7/63 provinces have spent less than 10% of collection → low demand & low efficiency of using*

11	Fund collection and expense	According to the report dated June 25th 2019 of the Vietnam Disaster Management Authority on the implementation of Decree 94/2014/ND-CP, the whole country Fund collected 2,360 billion VND, spending 918 billion VND, the remained fund is 1.442 billion VND; 7/63 provinces haven't spent fund, 7/63 provinces have spent less than 10% of collection. So we can see the fund collecting a lot but having low demand of using. So is it necessary to collect so much fund or not? In fact, there are many other funds (such as the Labor Safety Fund, the Unemployment Insurance Fund, the Supporting Industry Development Enterprise Fund, the Science and Technology Fund,...) that have not been used effectively, so they have been modified to reduce the contribution amount.
12	Unclear purpose of spending fund	The unclear purpose of spending fun makes enterprises & employees hesitate to contribute fund such as fake damage reports to receive support from the Fund, the support money from the Fund cannot reach the hands of citizens,…

Above are all the difficulties and matters that enterprises meet in the implementation process of collecting & contributing the Natural Disaster Prevention Fund. With these issues, we propose the following recommendations:

1. The contribution of the employee will be collected by the commune People's Committee where the employee registers the permanent residence or temporary residence instead of by enterprise as current. And apply only the same contribution amount of VND 15,000/pers for all contributors.

2. In cases enterprises are still obliged to collect funds from laborers, the Authorities must have detailed instructions to solve all above problems of enterprises.

As the Association representing Japanese enterprises in Vietnam that always strictly abide by the laws, we understand the Fund's meaning as well as our responsibility for the development of the country. However, with the above difficulties, once again, we urgently propose that the Government and Authorities to soon revise the legal provisions as well as provide detailed guidance for enterprises to ensure the law-making policy, the Fund collection and contribution implementation effective, timely, fair and realistic.

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Finally, JCCI will make effort to become the connection for the socio-economic development of Vietnam as well as Japanese enterprise's development. JCCI will always represent for Japanese enterprises in Vietnam, collect the opinions of opinions of enterprise member and give proposal to contribute more to the development of Vietnam. Therefore, we look forward to continuously receive the support from the Government and Authorities.

Thank you very much!

Receiver:

- As above

- Hanoi city People's Committee

- Hai Phong city People's Committee

- Bac Ninh provincial People's Committee

- Hung Yen provincial People's Committee

- Hai Duong provincial People's Committee

- Ministry of Investment and Planning – Bureau of Foreign Investment

- Japanese Ambassador in Vietnam

- JCCI in Ho Chi Minh city

- JCCI in Da Nang city

On behalf of the Japanese Chamber of Commerce and Industry in Vietnam

Chairman

HỘI CÁC DOANH NGHIỆP NHẬT BẢN TẠI VIỆT NAM
BAN LÃNH ĐẠO

NOBUFUMI MIURA